

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

29th November 2024

CB2 - Business Economics

Time allowed: 3 Hours 15 Minutes

Total Marks: 100

- Q. 1)** Which of the following scenarios is most likely to have a price elasticity of demand coefficient greater than 1?
- A. A luxury car brand increases its prices by 10%, resulting in a 5% decrease in demand
 - B. A necessity food item increases its prices by 5%, resulting in a 2% decrease in demand
 - C. A generic brand of toothpaste increases its prices by 8%, resulting in a 5% decrease in demand.
 - D. A high-end smartphone brand increases its prices by 15%, resulting in a 20% decrease in demand. (1)
- Q. 2)** When quantity demand for product drops when incomes goes up, the product is a/an _____.
- A. Inferior good
 - B. Superior good
 - C. Necessity good
 - D. Normal good (0.5)
- Q. 3)** In monopolistic competition, firms differentiate their products in order to:
- A. Increase market share
 - B. Maximize profits
 - C. Achieve economies of scale
 - D. Reduce competition (1)
- Q. 4)** The Market Demand and Supply functions for good X are as follows: $QD = 100 - 2P$; $QS = 50 + 4P$. Which of the following pair of the equilibrium price (P) and quantity of good X (Q) is correct?
- A. $P=6$; $Q= 83.33$
 - B. $P=8.33$; $Q= 8.33$
 - C. $P=6$; $Q= 8.33$
 - D. $P=8.33$; $Q= 83.33$ (1)
- Q. 5)** Which of the following is NOT an example of Positive externality?
- A. An individual chooses to bike or walk to work instead of using their own car
 - B. A new R&D unit set up by a pharma company to make life saving drugs at reasonable rates
 - C. Increase in Carbon footprint (release of greenhouse gases) by a state
 - D. Government initiatives to encourage girl child education (1)
- Q. 6)** What is the cross-price elasticity of demand for Substitute goods?
- A. 0
 - B. Greater than 1
 - C. Less than 1
 - D. Greater than 0 (1)
- Q. 7)** As the demand for rideshare service in the city increases, the service provider charges a higher fare during the peak hours. Concerned with the price variability during peak hours in particular, the city government has decided to limit the price per kilometre the service providers can charge. Which of the following could be the impact of this policy?
- A. Passengers had to wait for longer periods

- B. New rideshare services found an opportunity to tap the unmet demand
 - C. Ride fares went down in short run
 - D. It led to deadweight loss in the market
- (1)

Q. 8) When can companies successfully apply price determination?

- I. The company needs to have sufficient market power
 - II. Company has to identify differences in demand based on different conditions or customer segments.
 - III. The firm must have the ability to protect its product from being resold by one consumer group to another.
- A. I only
 - B. II only
 - C. I & II only
 - D. All of the above
- (1)

Q. 9) When you are very hungry, the first sandwich will give you maximum satisfaction and the second sandwich will give you less additional satisfaction than your first sandwich. The third sandwich will give you even lesser additional satisfaction. What is this phenomena called?

- A. Diminishing marginal utility
 - B. Pareto Optimum
 - C. Falling Utility
 - D. None of these
- (1)

Q. 10) What is the effect of inflation on interest rates?

- A. interest rates tend to be low
 - B. interest rates tend to be high
 - C. There is no relationship between the price level and interest rates
 - D. Need more information
- (0.5)

Q. 11) In your college town, a real estate developer is building thousands of new student-friendly apartments close to campus. If you want to pay the lowest rent possible, should you hope that demand for apartments is elastic or inelastic?

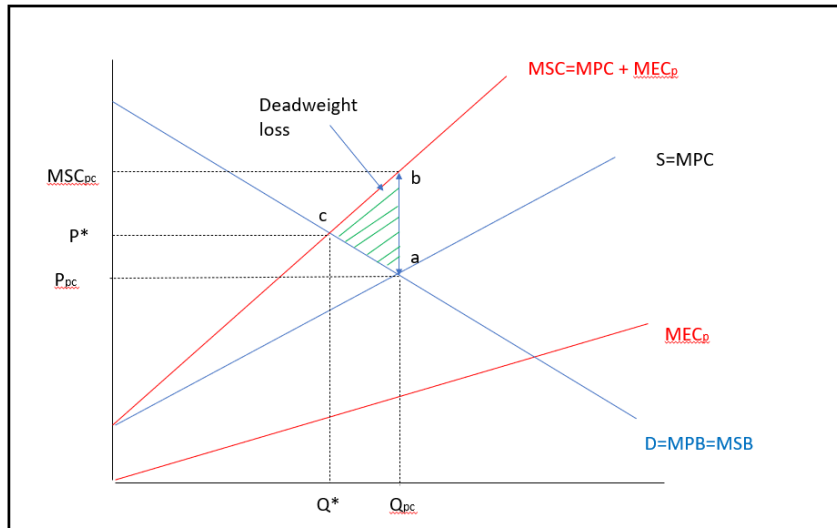
- A. Elastic
 - B. Inelastic
 - C. Can't say
 - D. Need more information
- (1)

Q. 12)

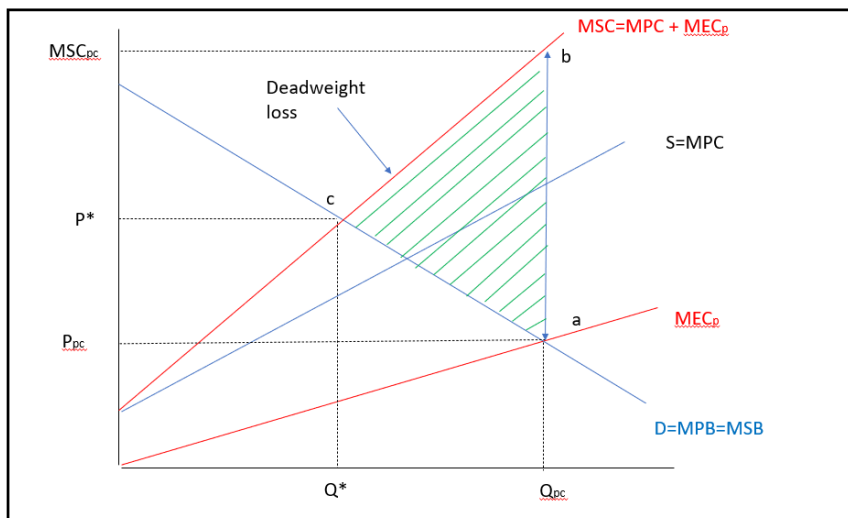
The shaded area in which of the following graphs most appropriately reflects the deadweight loss from a negative externality in production like release of harmful chemicals in the air?

[MSC = Marginal Social cost of chemical production; MPC= Marginal Private Cost; MECp=Marginal external cost of production; S=Supply curve; MPB= Marginal private benefit; MSB= Marginal social benefit; P* =socially optimal price; Q* = Socially optimal quantity; Ppc= Market equilibrium price; Qpc= Market equilibrium quantity; MSCpc=Marginal social cost when market equilibrium quantity is produced]

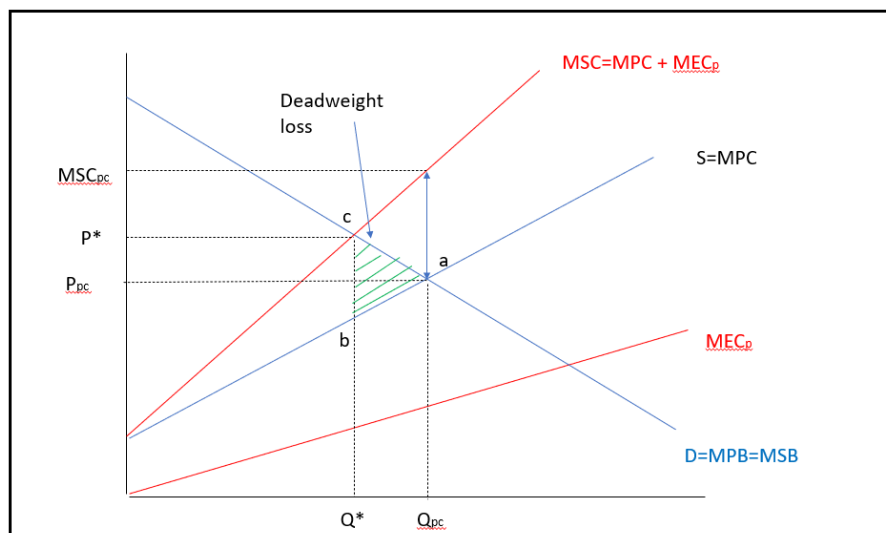
A.



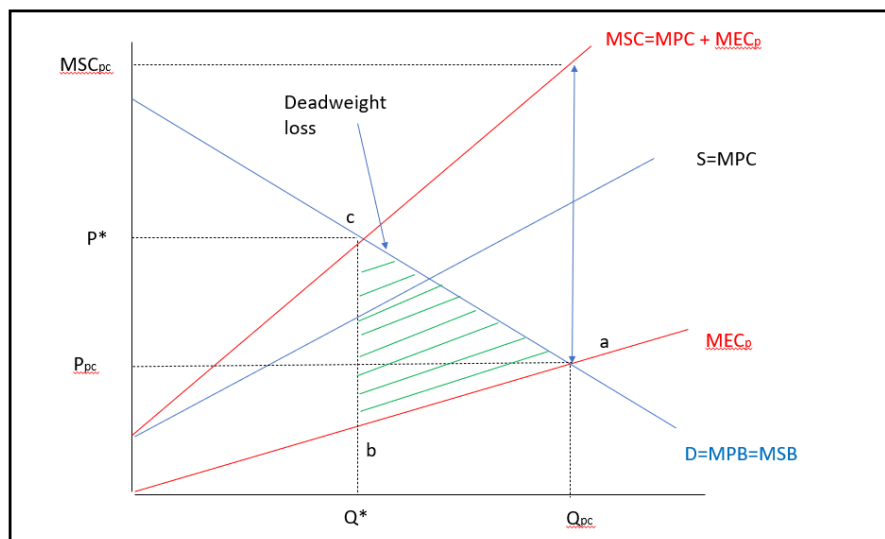
B.



C.



D.



(1)

Q. 13) A working actuarial professional has 5 hours before the examination. He can spend those 5 hours to study or can complete an important report for the CEO of his company. He decides to study for his exam. What will be the opportunity cost of his time?

- A. Losing the opportunity for his promotion
- B. Salary increment as a result of clearing the exam
- C. All of the above
- D. None of these

(1)

Q. 14) Which of the following is not an example of internal economies of scale?

- A. Purchasing discounts on cost due to purchasing in bulk
- B. Higher creditworthiness, which increases access to capital and more favourable interest rates
- C. Employing specialists to oversee and improve different parts of the production process
- D. Government subsidy to reduce the cost of power used by production units

(1)

Q. 15) There are significant barriers to entry in a manufacturing industry due to economies of scale. The products the manufacturers produce are differentiated and they engage in non-price competition also. Which among the following could be best described as the type of competition for such a manufacturing industry?

- A. Perfect Competition
- B. Monopolistic competition
- C. Oligopoly
- D. Monopoly

(1.5)

Q. 16) The relationship between average cost (AC) and marginal cost (MC) can be described as:

- A. If MC is less than AC, AC is falling. If MC is greater than AC, AC is rising.
- B. MC and AC are U shaped curves, MC cuts the AC at its minimum point and then rises above AC
- C. MC curve reaches its minimum before AC and then starts to rise while cutting AC curve at its minimum
- D. All of the above

(1)

Q. 17) What is the meaning of Firms are price takers in the Perfect competition?

- A. Firms accept whatever the price is paid by the consumer for the product

- B. Firms have no Market Power
- C. Firms sell identical products
- D. There are no barriers to entry and exit

(1)

Q. 18)

Output	TFC	AFC	TVC	AVC	TC	AC	MC
0	60	NA	0	NA	60	NA	NA
1	60	60	10	10	70	70	
2	60	30		8	76	38	6
3	60	20	21	7		27	5
4	60	15	28	7	88		7
5	60	12	25	5	95	19	7

[TFC= Total Fixed Cost; AFC= Average Fixed Cost; TVC= Total Variable Cost; AVC= Average Variable Cost; TC = Total Cost; AC = Average Cost; MC = Marginal Cost]

Which of the following combination is correct for the missing entries in the above table?

- A. TVC =16; TC =80; AC =20; MC =10
- B. TVC =21; TC =81; AC =22; MC= 10
- C. TVC =21; TC =1; AC =21; MC =8
- D. TVC =16; TC =81; AC =22; MC =10

(1.5)

- Q. 19) Below table shows the demand schedule for tickets to watch amateur football matches in a medium sized town. The local council provides the stadium the players play for free so the marginal cost of providing games is zero. The council has authorized two companies to provide football matches in two stadiums and the public considers the games in each stadium to be equivalent. If the duopolists in this baseball market collude and successfully form a cartel, how much profit will each earn?

Price	Quantity	TR
6	0	0
5	1000	5000
4	2000	8000
3	3000	9000
2	4000	8000
1	5000	5000
0	6000	0

- A. 4500
- B. 4000
- C. 1500
- D. 9000

(2)

- Q. 20) Which of the following is an example of adverse selection in insurance?

- A. A healthy individual purchasing a comprehensive health insurance plan
- B. Someone with a nicotine dependency getting insurance at the same rate of someone without nicotine dependency
- C. A young driver paying higher car insurance premiums due to their age
- D. An individual choosing a life insurance policy based on their financial needs

(1)

- Q. 21)** In a monopoly market, the demand curve faced by the firm is
- A. Perfectly elastic
 - B. Perfectly inelastic
 - C. Downward sloping
 - D. Horizontal
- (0.5)

- Q. 22)** The Total Revenue (TR) curve is given by $TR = 100Q - 0.375Q^2$ and Total Cost (TC) curve is given by $TC = 1200 + 0.125Q^2$. Which of the following is the supernormal profit of the firm under Monopoly competition?
- A. 3700
 - B. 2200
 - C. 4000
 - D. 3800
- (2)

- Q. 23)** A commodity X has the following Demand and Supply curve: $Q_D = 50 - P$, $Q_S = -10 + 0.5P$. The seller pays per unit tax of Rs 6 on the commodity. Which of the following combination is correct?

[P= Equilibrium Price Before Tax; Q= Equilibrium Quantity Before Tax; BPAT = Buyer Price After Tax; TR = Tax Revenue]

- A. $P = 40$, $Q = 12$, $BPAT = 40$, $TR = 24$
 - B. $P = 40$, $Q = 10$, $BPAT = 42$, $TR = 48$
 - C. $P = 42$, $Q = 10$, $BPAT = 42$, $TR = 48$
 - D. $P = 40$, $Q = 10$, $BPAT = 42$, $TR = 40$
- (3)

- Q. 24)** Consider a market for Actuaries wherein the demand and supply for Actuaries is given by $P = 200 - N/10$ and $P = 20 + N/20$. Further, the actuarial body issuing certificate of practice in the market has decided to issue only 600 new licenses in a year. Which of the following combination is correct?

[P= The equilibrium hourly wage rate of an actuary before license limitation; N= The equilibrium number of actuaries employed before license limitation; P*= The equilibrium hourly wage rate of an actuary after license limitation; N*= The equilibrium number of actuaries employed after license limitation; D= The deadweight loss caused by the changes in license policy]

- A. $N = 1200$, $P = 80$; $P^* = 140$, $N^* = 600$; $D = 27000$
 - B. $N = 1000$, $P = 80$; $P^* = 140$, $N^* = 600$; $D = 25000$
 - C. $N = 1200$, $P = 80$; $P^* = 120$, $N^* = 600$; $D = 27000$
 - D. $N = 1000$, $P = 80$; $P^* = 120$, $N^* = 600$; $D = 25000$
- (4)

- Q. 25)** What is the objective of Fiscal policy?

- I. achieve full employment;
- II. stabilize the price level
- III. maintain equilibrium in the Balance of Payments

- A. I and II only
- B. I only
- C. II and III
- D. I, II and III

(1)

- Q. 26)** If inflation is 4% and you receive a 7% increase in your nominal wage, by how much your real wage change?
- A. 11%
 - B. 3%
 - C. 4%
 - D. 7%
- (1)
- Q.27)** To correct the Deflationary gap, what policies can be adopted by government
- I. Open market operations by central bank;
 - II. Increase in government expenditure
- A. I only
 - B. II only
 - C. Both I and II
 - D. None of the above
- (1)
- Q. 28)** Which factor would shift the Aggregate Demand curve to right?
- A. a fall in interest rates which increases investment
 - B. an increase in real incomes due to a rise in GDP
 - C. an appreciation of the dollar
 - D. an increase in real wages
- (1)
- Q. 29)** Which of these is NOT a monetary policy tool?
- A. Open market operations
 - B. Balanced accounts
 - C. Reserve requirements
 - D. Discount rates i.e. interest rate charged by central bank
- (1)
- Q. 30)** Stagflation results from
(AS- Aggregate Demand; AS – Aggregate Supply)
- A. a shift of the AS curve to the left.
 - B. a shift of the AS curve to the right.
 - C. a shift of the AD curve to the left.
 - D. a shift of the AD curve to the right.
- (1)
- Q. 31)** Which of the following measures have to be adopted to curb out inflation from the economy?
- A. Increase in government expenditure and reduction in taxation
 - B. Decrease in Government expenditure and increase in taxation
 - C. Increase in transfer payments and increase in taxation
 - D. Decrease in transfer payments and decrease in taxation
- (1)
- Q. 32)** If the consumption function is $C=50+0.7 Y$, where Y is the income. What does 0.7 signifies in the equation?
- A. Marginal propensity to consume
 - B. Marginal propensity to save
 - C. Autonomous level of consumption
 - D. None of the above
- (1)

- Q. 33)** The multiplier - accelerator theory focuses on relationship between
- A. taxes, consumer spending and GDP
 - B. Monetary policy, interest rates and investment
 - C. GDP and investment spending
 - D. GDP and any component of aggregate demand
- (1)

- Q. 34)** A higher interest rate might induce households to _____ but businesses to _____.
- A. save more, borrow less
 - B. save less, borrow more
 - C. save more, borrow more
 - D. save less, borrow less
- (1)

- Q. 35)** Calculate GDP using the table below:

Particulars	(in'000s)
Transfer Payments	54
Interest Income	150
Depreciation	36
Wages	67
Gross Private investment'(I)	124
Business Profits	200
Indirect Business Taxes	74
Rental Income	75
Net Exports(X-M)	18
Net Foreign Factor income	12
Government Purchases'(G)	156
Household Consumption'(C)	304

- A. 676
 - B. 752
 - C. 602
 - D. 802
- (1.5)
- Q. 36)** An increase in the imports of clothing into the United States will benefit _____ and hurt _____.
- A. U.S. clothing producers; foreign clothing producers
 - B. U.S. clothing consumers; U.S. clothing producers
 - C. foreign clothing consumers; foreign clothing producers
 - D. U.S. clothing consumers; foreign clothing producers
- (1)

Table A

Item	Labour Hours Used	
	In India	In US
1 Umbrella	3	2
1 Unit of Corns	1	0.25

- Q. 37)** Refer the Table A, India has absolute advantage in the production of _____ and US has an absolute advantage in the production of _____.

- A. Neither good; corn
- B. Neither good; both goods
- C. Both goods; neither goods
- D. Corn; umbrellas (1)

Q. 38) Refer the Table A, India has comparative advantage in the production of _____ and US has comparative advantage in the production of _____.

- A. Neither good; corn
- B. Neither good; both goods
- C. umbrellas; Corn
- D. Corn; umbrellas (1)

Q. 39) Refer to Table A, the opportunity cost of producing a unit of corn in India is _____ umbrellas and the opportunity cost of producing a unit of corn in the US is _____ umbrellas

- A. $1/8$; $1/3$
- B. $1/3$; $1/8$
- C. 3 ; 8
- D. 8 ; 3 (1)

Q. 40) Refer to Table A, once trade is opened, we can anticipate that the international price of umbrellas will lie between _____ and _____

- A. $1/3$ of a unit of corn; 3 units of corn
- B. 8 unit of corn; 3 units of corn
- C. $1/8$ of a unit of corn; $1/3$ units of corn
- D. 8 unit of corn; $1/8$ units of corn (1)

Q. 41) Which of the following scenarios would lead to movement up the Phillips curve?

- A. A rise in aggregate demand
- B. Aggregate supply remaining the same
- C. Inflation remaining constant
- D. Unemployment rising (1)

Q. 42) In order to encourage investment in the economy the central bank may _____.

- A. reduce cash reserve ratio
- B. increase cash reserve ratio
- C. sell government securities in the open market
- D. Increase bank rate (1)

Q. 43) What type of government policy can cause crowding out?

- A. There is no policy like this
- B. Monetary policy
- C. Conservative fiscal policy
- D. Expansionary fiscal policy (1)

Q. 44) The Phillips curve suggests that monetary policymakers could use monetary policy to: (1)

- A. reduce the unemployment rate without affecting inflation rate
- B. reduce the unemployment rate at the expense of higher inflation
- C. reduce inflation without affecting the unemployment rate
- D. increase the inflation rate while increasing the unemployment rate

Q. 45) Choose the correct order of True and False:

- I. To raise real interest rates, the central bank must ensure that the nominal interest rate is above the expected rate of inflation;
- II. Real interest rates determine Aggregate demand;
- III. an increase in business confidence will shift the IS (investment-savings) curve to right;
- IV. oil price increase will shift the MP (monetary policy) curve to the right

- A. I-False; II-True; III-True; IV-False
- B. I-False; II-False; III-True; IV-True
- C. I-True; II-True; III-True; IV-True
- D. I-True; II-False; III-True; IV-False

(1.5)

Q. 46) When economists speak of the "demand for money" which of the following questions are they asking?

- A. How much income would you like to earn?
- B. What proportion of your financial assets do you want to hold in non- interest-bearing forms?
- C. How much cash do you wish you could have?
- D. How much wealth would you like?

(1)

Q. 47) In terms of the demand for money, the interest rate represents

- A. the price of borrowing money
- B. the return on money that is saved for the future
- C. the opportunity cost of holding money
- D. the rate at which current consumption can be exchanged for future consumption

(1)

Q. 48) Choose the correct stage of business growth cycle to complete the statement: The level of output is highest in _____phase and the rate of growth in output is highest in phase_____.

- A. the upturn, the expansion
- B. the peaking out , the expansion
- C. the upturn, the peaking out
- D. the slowdown, the peaking out

(1)

Q. 49) When we deduct depreciation from GDP, we get

- A. Net national product
- B. Net domestic product
- C. Gross national product
- D. Disposable income

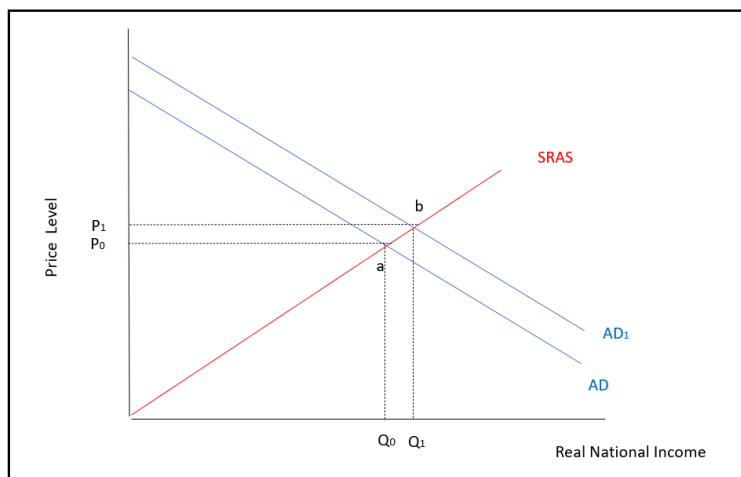
(1)

- Q. 50)** What role did securitisation play in 2008 Financial crisis?
- A. It helped prevent the crisis by spreading the risk
 - B. It had no impact on the crisis
 - C. It exacerbated the crisis by spreading the risk
 - D. It helped stabilize the financial system during the crisis

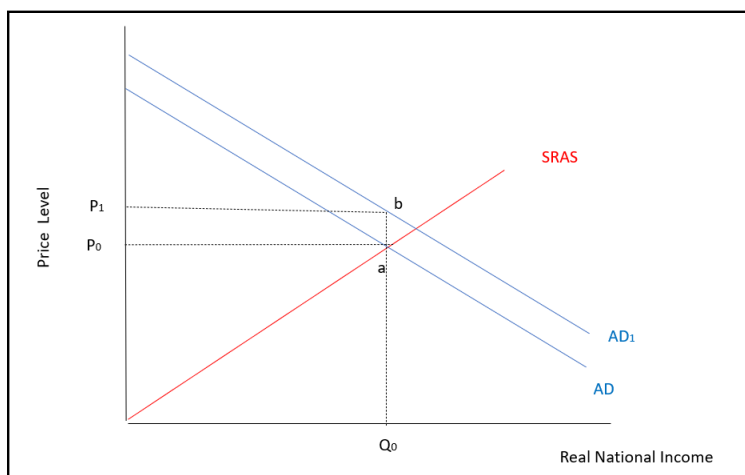
(1.5)

- Q. 51)** Which of the following graph accurately reflects the initial impact of Demand- Pull inflation on Real National Income? [AD = Aggregate Demand; SRAS = Short run Aggregate supply; P = Equilibrium price; Q= Equilibrium National income]

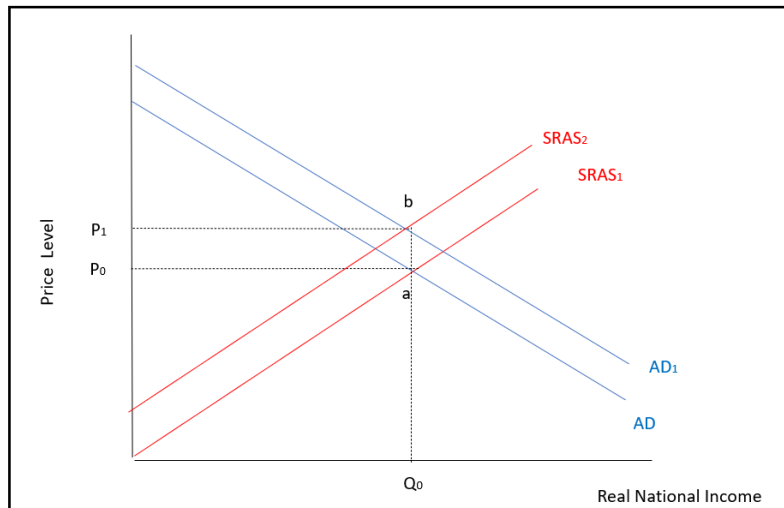
A.



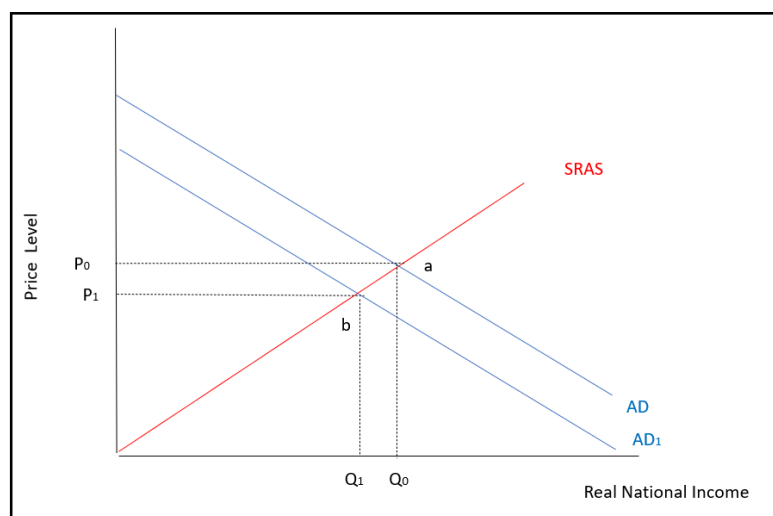
B.



C.



D.



(1)

Q. 52) What are the consequences if people are not able to predict the rate of inflation and not able to adapt fully to it?

- A. Redistribution of income
- B. Uncertainty & lack of investment
- C. Both A & B
- D. None of the above

(1)

Q. 53) What is a country's disparity between the exports and imports of goods and services called?

- A. Budget Deficit
- B. Current Account Deficit
- C. Gross Domestic product
- D. Gross National Product

(1)

Q. 54) Which of the following is/are part of Gross National product?

- I. Imports
- II. Exports
- III. Subsidies given to students

- A. I only

- B. II only
 - C. I, II and III only
 - D. I and II only
- (1)

Q. 55) Which of the following is not a supply side policy?

- A. reducing the power of trade unions
 - B. retraining the labour
 - C. investment grants to firms
 - D. increase in government spending
- (1)

Q. 56) If government spending and taxes decrease by the same amount,

(IS – Investment-savings; MP – Monetary policy)

- A. the IS curve does not shift
 - B. the IS curve shift leftward
 - C. the IS curve shifts rightward.
 - D. the MP curve shifts downward
- (1.5)

Q. 57) Which of the following is not a convergence criterion that countries had to meet to adopt Euro?

- I. The budget deficit should be no more than 3% of GSD at market prices
- II. The National debt should be no more than 60% of GDP at market prices
- III. Inflation should be no more than 1.5% pa above the countries with the lowest inflation rates.
- IV. Interest rates on long term government bonds should be more than 2% pa above the average of the three EU countries with the lowest inflation rates

- A. I only
 - B. II and III
 - C. I, II and III
 - D. IV only
- (1.5)

Q. 58) What are the ways to reduce systematic risk in the financial system?

- I. Central bank acting as lender of last resort
- II. Heightened supervision and control of the behaviour of systematically important banks
- III. Securitisation

- A. I only
 - B. I, II and III
 - C. II only
 - D. I and II
- (1)

Q. 59) Identify the school of thought which believes - Central banks pursuit of a monetary policy that is too loose, would lead to the distortion of the economy and inflation. Low interest rates cause an unsustainable investment boom which will correct itself when the boom comes to an end.

- A. New Classical
 - B. Austrian school
 - C. Keynesian
 - D. None of the above
- (1.5)

- Q. 60)** The classical theory predicated that, in the long run, equilibrium in the economy would be at virtually _____. In the long run, any unemployment would be merely_____.
- A. full employment, structural unemployment
 - B. zero unemployment, structural unemployment
 - C. full employment, frictional unemployment
 - D. zero unemployment, frictional unemployment
- (1)
- Q. 61)** Instead of relying on the price mechanism to match the supply and demand for goods, the Keynesian approach assumes...
- A. the real money supply adjusts, changing interest rates to bring about the match between output and demand.
 - B. output adjusts to demand
 - C. exogenous disturbances induce spending multiplier effects
 - D. collective bargaining adjusts the real wage to bring about full-employment
- (1.5)
- Q. 62)** The Keynesian assumption is a convenient analytical short cut and turns out to be a rather accurate description of the reality. What does it assume?
- A. Constant prices
 - B. Firms cannot reduce fix costs
 - C. Output is predetermined
 - D. The interest rate stimulates growth
- (1)
- Q. 63)** A man has only Rs 105 in his pocket. He has the option to buy a lottery ticket costing Rs 5 and there is a 1 in 10 chance of winning. The winning ticket pays a prize of Rs 50. The man decided to buy the lottery ticket. What kind of person is he?
- A. Risk neutral
 - B. Risk averse
 - C. Risk lover
 - D. None of these
- (1)
- Q. 64)** As the price of diamond increases, it leads to increase in its demand. What could be the possible reason for this?
- A. Impulsive purchase
 - B. expectation of future increase in prices
 - C. Giffen goods
 - D. conspicuous consumption
- (1)
- Q. 65)** A Motor third-party insurance
- A. is considered a merit good because its benefits are not fully appreciated by user
 - B. is considered a merit good because it confers external benefits to people who might be injured or whose cars might be damaged
 - C. both of (a) and (b) are true
 - D. none of the above is true
- (1)
- Q. 66)** After an expansionary fiscal policy to increase national income, government can avoid crowding out by
- A. increasing money supply
 - B. reducing private sector investment
 - C. imposing price controls

- D. None of the above (1)
- Q. 67)** A tea vendor on the railway station charges Rs 20 for a cup of tea from passengers travelling in first AC and Rs 10 for a cup of tea from passengers travelling in third AC. This is an example of :
- A. First Degree Price discrimination
 - B. Second Degree Price discrimination
 - C. Third Degree Price discrimination
 - D. None of these
- (1)
- Q. 68)** How are big grocery stores like Walmart able to sell products at low cost to its customers?
- A. They are loss leaders
 - B. They take advantage of economies of scale by buying in bulk
 - C. None of these
 - D. Both of these
- (1)
- Q. 69)** The short run supply curve in perfectly competitive market is
- A. its average cost curve
 - B. marginal cost curve above the lowest point of average total cost curve
 - C. horizontal sum of individual firms marginal cost curve
 - D. None of the above
- (1)
- Q. 70)** Which of the following statements is False in the context of binding price ceiling:
- I. It may lead to development of shadow market;
 - II. Total consumption will be higher due to lower prices;
 - III. The available supply has to be rationed
- A. I only
 - B. I & III only
 - C. I, II and III
 - D. II only
- (1)
- Q. 71)** If the cross-price elasticity of demand for keyboard and computers is -1.5. When the price of computer increases from Rs 70,000 to Rs 105,000. Then the demand for keyboards will
- A. Fall by 75%
 - B. Increase by 75%
 - C. Fall by 225%
 - D. Increase by 225%
- (1)
- Q. 72)** Airline companies charging a higher price during vacations or Christmas is an example of
- A. second degree price discrimination
 - B. third degree price discrimination
 - C. peak load pricing
 - D. predatory pricing
- (1)
- Q. 73)** What is the difference between Cournot model and Bertrand model?
- A. Cournot is a one year model while Bertrand is a multi-year model
 - B. In the cournot model, firm sets price and in the Bertrand model, firm chooses the output
 - C. In the cournot model firm chooses output and in the Bertrand model firm sets the price
 - D. None of these
- (1)

- Q. 74)** Which of the following is not a function of Financial intermediary?
- A. Expert advice on savings & investment
 - B. Risk transformation
 - C. Both A & B
 - D. None of the above
- (1)
- Q. 75)** Which of the following statement is NOT true?
- I. A rise in real wage rates increases the real wage unemployment rate;
 - II. Main solution for demand deficient unemployment is expansionary fiscal policy;
 - III. Structural unemployment can only be tackled through interventionist approach by government
- A. I and II only
 - B. III only
 - C. II only
 - D. All of the above
- (1.5)
- Q. 76)** Which of the following statement about Production possibility frontier (PPF) is NOT true?
- I. The Production possibility Frontier (PPF) demonstrates that production of one commodity may increase only if the production of other commodity decreases;
 - II. Introduction of new & improved technology will shift the PPF to right;
 - III. The area below the PPF curve represents the combination of goods that should be produced when all resources are fully & efficiently used;
 - IV. PPF assumes there are limited resources
- A. I and II
 - B. II and III
 - C. III only
 - D. IV only
- (1)
- Q. 77)** An increase in cash reserve ratio by Central Bank will _____ credit creation
- A. Increase
 - B. Decrease
 - C. No impact
 - D. Can't say
- (1)
- Q. 78)** Statement I: Monetary policy on its own cannot influence economic growth but can only support it by creating congenial factors.
- Statement II: Monetary policy rates change gets transmitted across the markets and eventually gets reflected in lending rates, mortgage rates and yields. Hence, monetary policy can address the current inflation.
- In the light of the above statements, choose the most appropriate answer
- A. Both I and II are true
 - B. Both I and II are false
 - C. I is true but II is false
 - D. I is false but II is true
- (1)
- Q. 79)** Fill in the blank:
- If there is excess demand for money, then _____

- A. there is also an excess supply of bonds
 - B. The interest rate is lower than the equilibrium value
 - C. the interest rate will rise
 - D. all of the above
- (1)

Q. 80) In the circular flow of income & spending:

- A. investment results in a decrease in the volume of the income flow
 - B. savings result in an increase in the volume of the income flow
 - C. taxes result in an increase in the volume of the income flow
 - D. import results in a decrease in the volume of the income flow
- (1)

Q. 81) The number of times a unit of money exchanges hands during a unit period of time is known as

- A. Velocity of the circulation of money
 - B. Speed of circulation of money
 - C. Momentum of circulation of money
 - D. Count of circulation of money
- (1)

Q. 82) Which of the following is not a measure used by central bank to control systematic risk of banks?

- A. Central bank encouraging other banks to support those banks that are short of liquidity but still solvent
 - B. issuing credit derivatives
 - C. heightened supervision and control of the behaviour of systematically important banks
 - D. Government trying to recapitalise banks
- (1)

Q. 83) If too much money is chasing too few goods, the resulting inflation is known as _____.

- A. Stagflation
 - B. Cost push inflation
 - C. Demand pull inflation
 - D. None of the above
- (1)

Q. 84) Which of the following is not True of Islamic Finance?

- A. prohibits making money from money
 - B. avoid investing in activities such as alcohol, tobacco and gambling
 - C. encourages sharing of risk through equity
 - D. paying rent on using property
- (1)

Q. 85) Aayushi grows vegetables in her garden to feed her family. The vegetables she grows are not counted in GDP because

- A. it was not produced for marketplace
 - B. it is an intermediate good, which Marie will process further
 - C. the vegetables have no value
 - D. it reduces the amount of vegetables she will buy from shops
- (1)

Q. 86) Which of the following is the definition of a budget deficit?

- A. Excess of the total expenditure over the total receipts minus interest payments and borrowings
- B. Excess of the total expenditure over the total receipts minus borrowings
- C. Excess of the revenue expenditure over the revenue receipts

- D. Excess of the total expenditure over the total receipts (1)
- Q. 87)** Once the central government cuts the value of a currency in terms of the international exchange rate; this phenomenon is known _____.
A. Devaluation
B. Depreciation
C. Stagflation
D. Appreciation (1)
- Q. 88)** Rahul recently completed his university degree and is entering the labour market for the first time. He has been submitting applications and has been interviewed twice in the last two weeks, but so far has not found a job. Rahul could be classified as
A. Frictionally unemployed
B. Seasonally unemployed
C. Structurally unemployed
D. Cyclically unemployed (1)
- Q. 89)** What is the impact of cost push inflation on output and unemployment?
A. output falls and unemployment increases
B. output falls and unemployment also falls
C. both output and unemployment rises
D. output increases and unemployment falls (1)
- Q. 90)** Using the marginal utility analysis, which equation describes the decision-making process of a rational person?
A. $MU(a)/P(a)=MU(b)/P(b)$
B. $TU(a) + TU(b)= P(a) + P(b)$
C. $MU(a)*P(a)=MU(b)*P(b)$
D. $TU(a)+TU(b)= P(a)*Q(a)+P(b)*Q(b)$ (0.5)
